CWM Private Client Advisor Compensation Plan — 2026

Effective 1 January 2026. This plan describes the incentive compensation arrangements for CWM Private Client Advisors. It is a sample document prepared for the practice demo, transcribing the provisions of the client's plan for extraction testing. Nothing in this document constitutes a guarantee of compensation.

1. Eligibility

Participation in this plan is limited to employees in an eligible Private Client Advisor job code as of the first day of the Measurement Period. Employees in job codes HK0176, HK0186, HK0187 or HK0188 participate in the CWM Select Advisor Plan instead of this plan. An employee must be in an active covered job code as of December 31st to receive annual awards under this plan.

2. Monthly Incentive Credit

Each month, a participant earns a Monthly Incentive Credit equal to Monthly Credited Revenue multiplied by the Incentive Grid Rate for the participant's revenue level, per the following table.

Level	Monthly Credited Revenue	Incentive Grid Rate
1	$0.00 – $19,999.99	22.00%
2	$20,000.00 – $24,999.99	25.00%
3	$25,000.00 – $29,999.99	27.00%
4	$30,000.00 – $34,999.99	28.50%
5	$35,000.00 – $39,999.99	30.00%
6	$40,000.00 – $44,999.99	32.00%
7	$45,000.00 and above	35.00%

The following revenue is excluded from grid-rate payout:

- Equity trades generating less than $25.00 of credited revenue in the month receive a 0% payout rate.
- Mutual Fund revenue of less than $10.00 in the month receives a 0% payout rate.

3. Discount Sharing on Managed Accounts

Effective 1 April 2026, managed accounts with a fee reduction of 10% or more are subject to Discount Sharing. Discount Sharing applies to products billed on the Standard Managed 145 bps Fee Schedule.

Discount Sharing applies to new or updated pricing decisions originating on or after 1 April 2026. Clients with a fee reduction that originated prior to 1 April 2026 are not subject to Discount Sharing. For this purpose, clients are defined at the Account level, the ECI level, and the Relationship Pricing Group level.

Where Discount Sharing applies, the participant's Account Level Incentive Grid Rate is adjusted as follows.

Effective Discount Level	Account Level Incentive Grid Rate Adjustment
Up to 10%	No grid rate point adjustment
Above 10%	1 grid rate point downward per 1% of discount above 10%

A Minimum Grid Rate of 10% will apply after all Discount Sharing adjustments.

4. NNM Annual Award

Participants whose Total Annual NNM is at or above $4,000,000 earn an NNM Annual Award calculated as:

Total Annual NNM × Award Rate × Effective Grid Rate

Total Annual NNM is measured on Total Annual NNM Flows as of December 31st. The Award Rate is determined by the participant's Existing Client Annual NNM Flows, per the following table.

Existing Client Annual NNM Flows	Award Rate
Negative	50 bps
$0.00 – $3,999,999.99	55 bps
$4,000,000.00 – $9,999,999.99	60 bps
$10,000,000.00 – $19,999,999.99	65 bps
$20,000,000.00 and above	70 bps

- If the calculated award is below $500, the participant receives a $500 minimum award.
- Participants who have been in a covered job code for less than one year, or who have taken an approved Leave of Absence during the Measurement Period, have their NNM threshold prorated based on their active months.
- The participant must be in an active covered job code as of December 31st to receive the award.

5. Definitions

- Active Month: a month in which the participant is active for more than 15 calendar days of the Measurement Period.
- Annual Measurement Period: 1 January through 31 December.
- Effective Grid Rate: YTD Total Grid Eligible Incentive divided by YTD Total Grid Eligible Revenue. A minimum Effective Grid Rate of 22% applies if the calculated rate is below that level.
- Existing Client: a client, identified by SSN or TIN, with a non-$0 balance on 31 December of the prior year.
- Monthly Measurement Period: the first through the last day of the calendar month.
- Net New Money (NNM): measured per client per month, based on the SSN or TIN of the primary account holder. Flows attributable to a Power of Attorney, Trustee, or Signee are excluded.
- Prior Period Adjustment: a recalculation of a prior period, with the resulting change applied on a future compensation statement.